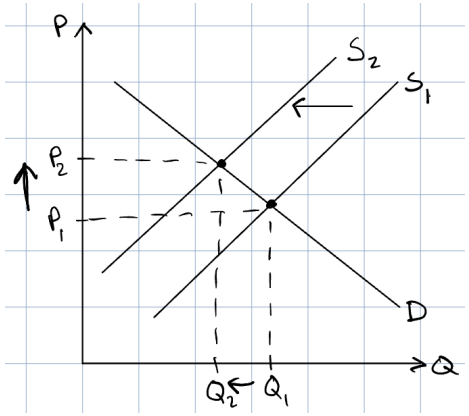
Ch. 4.4 HW Solns

Mr. Spence

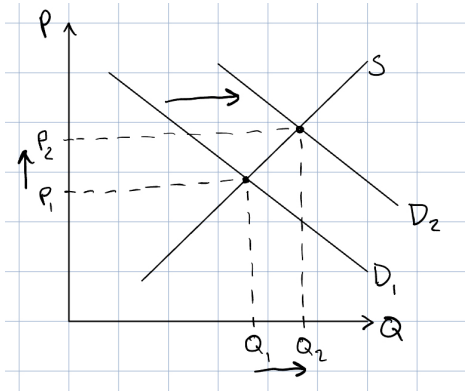
September 7, 2025

QuickQuiz

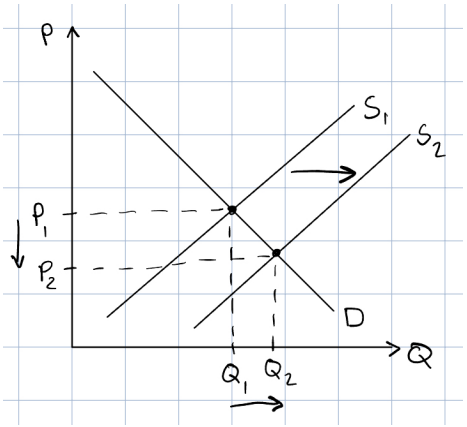
10. (b)



11. (a)

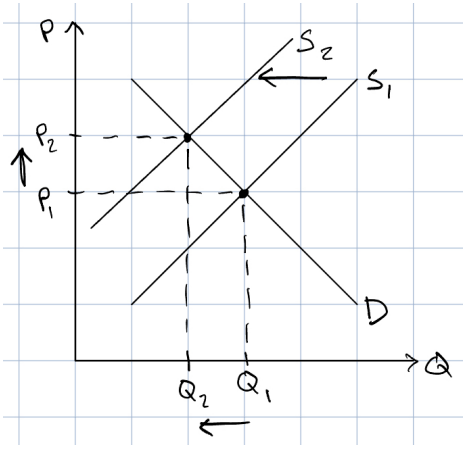


12. (c) – For equilibrium price to increase and quantity to decrease, we need supply to shift left. That happens when input prices increase.

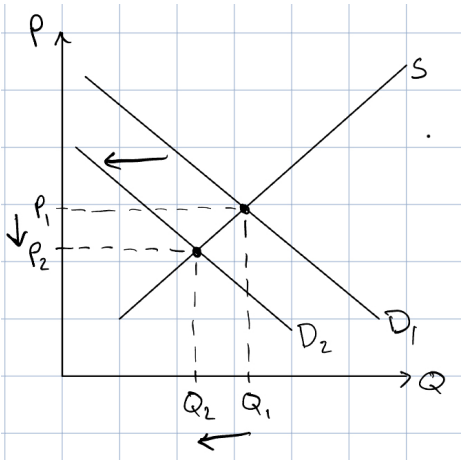


Problems and Applications

1. (a) The cold snap will increase the cost of oranges, an input to OJ, because orange farms will be less productive. That shifts the supply of OJ to the left and increases the equilibrium price.



(b) People's preferences for hotel rooms move away from the Caribbean and towards New England. That decreases demand and drives down the equilibrium price.



(c) When war breaks out in the middle east, the number of oil sellers decreases. That shifts the supply of gasoline left which in turn increases the price of gasoline. Gasoline and cars are complements, so when the price of gasoline goes up, demand for cars shifts left and the price of cars drops.

